

Business Intelligence REPORT

Customer Segmentation

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BI95





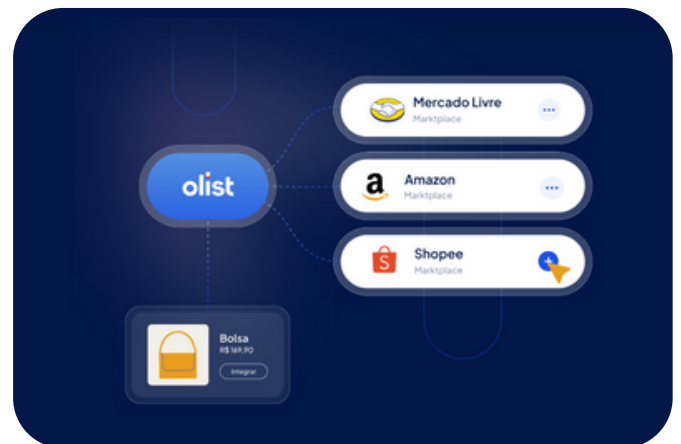
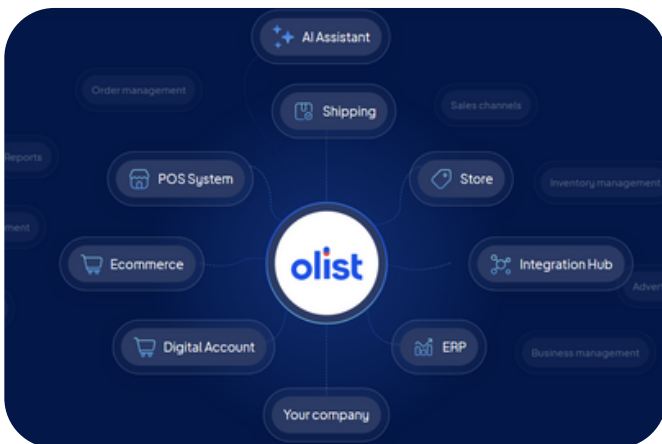
olist
empowering commerce



OLIST

Company Overview

A Snapshot of Our Business



Olist is the largest department store in Brazilian marketplaces. Olist connects small businesses from all over Brazil to channels without hassle and with a single contract. Those merchants are able to sell their products through the Olist Store and ship them directly to the customers using Olist logistics partners

After a customer purchases the product from Olist Store a seller gets notified to fulfill that order. Once the customer receives the product, or the estimated delivery date is due, the customer gets a satisfaction survey by email where he can give a note for the purchase experience and write down some comments.

Who we are

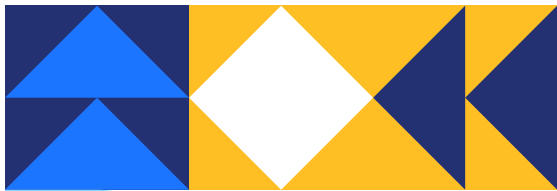
What we do

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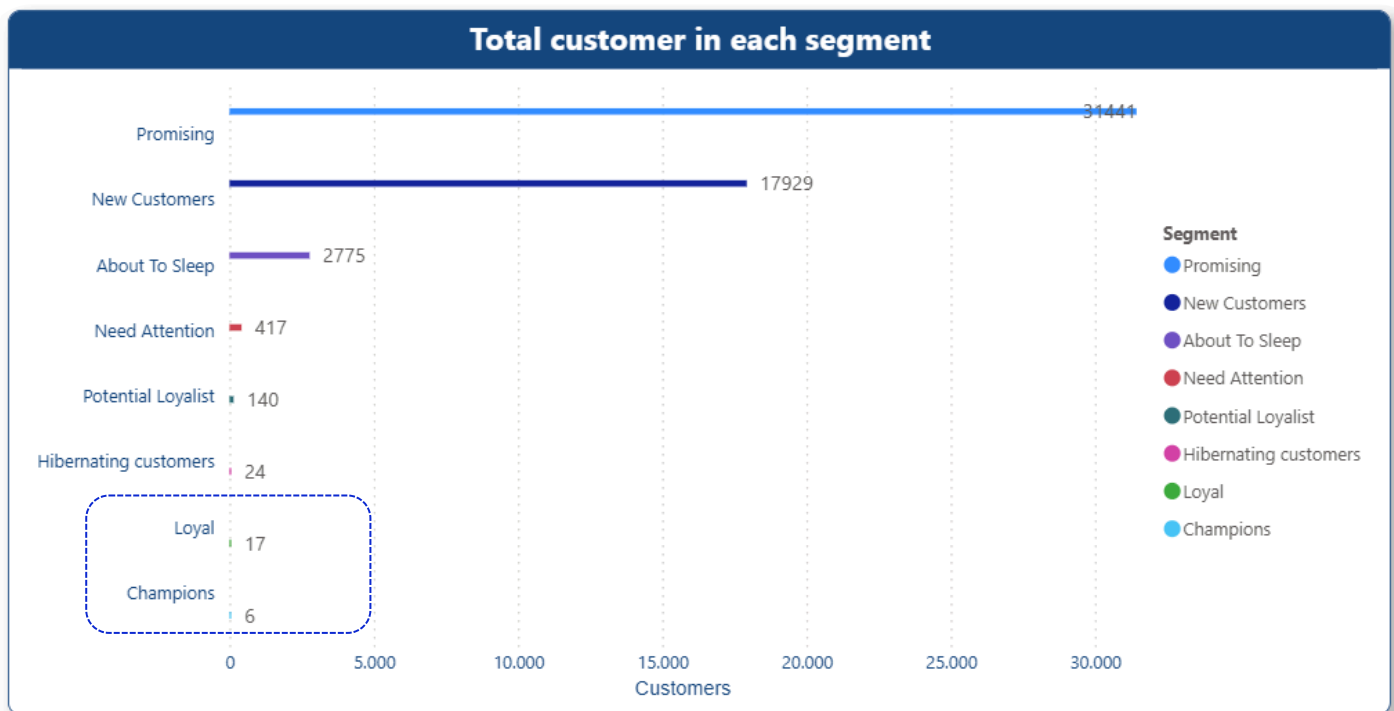
Part 1

Total Customer of Olist

96,10K

Best Customers

Who are they? And how many of them?



Champion: 6 customers

Under RFM scores of

555

545

445

Loyalty: 17 customers

Under RFM scores of

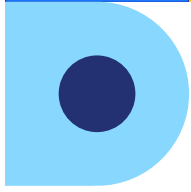
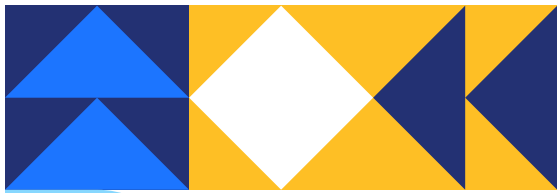
335

345

355

435

In Olist, 2 segments of the best customers were identified, namely **Champions** and **Loyalty** customers. Together, these groups account for a total of **23** customers, with 6 classified as Champions and 17 as Loyalty.



Part 1

Champions

\$1.859,7

Revenue

20

Total orders

92,99

AOV

Total customer in each segment



Total sales by city



Total orders and total sales trend



Customer ID	RFM Score	Segment	Last day order	Orders	Sales
ca77025e7201e3b30c44b472f346268	545	Champions	01/06/2018	7	1.122.72
dc813062e0fc23409cd255f7f53c7074	545	Champions	23/08/2018	6	1.033.62
8d50f5eadf50201ccdcedfb9e2ac8455	555	Champions	20/08/2018	17	902.04
63cf61cee11cbe306bf5857d00bfe4	445	Champions	28/05/2018	6	826.32
6469f99c1f9dfe7733b25662e7f1782	545	Champions	28/06/2018	7	758.83
f0e310a6839dce9de1638e0fe5ab282a	445	Champions	05/04/2018	6	540.69
Total				49	5.184.22

Total sales by product



The Champion segment, though the smallest with only 6 customers, placed 20 orders in 2018.

Their average order value was 93 US dollars, generating around 1,859 US dollars in total revenue, mostly from Recife city

Part 1

Loyalty

\$6.406,7

Revenue

45

Total orders

142,37

AOV

Total customer in each segment



Total sales by city



Total orders and total sales trend



Total sales by product

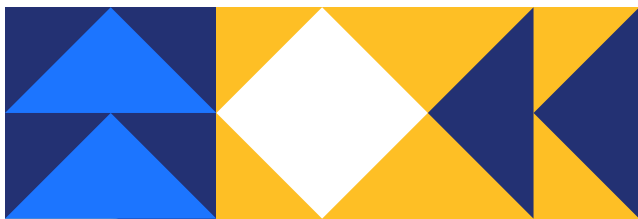


Customer ID	RFM Score	Segment	Last day order	Orders	Sales
3e43e6105506432c953e165fb2ac144c	355	Loyal	27/02/2018	9	1.172.67
5e8f38a9a1c023f3db718edc1926a2db	435	Loyal	06/03/2018	5	1.114.18
08e5b38d7948d37fb2a59fc5e175ab1	435	Loyal	10/05/2018	4	1.056.33
1b6c7548a2a1f9037c1fd3ddfed95f33	345	Loyal	14/02/2018	7	959.01
47c1a3033bb77b3ab6e109eb4d5fd3	345	Loyal	24/01/2018	6	944.21
12d8b5ed661190a3a08183644dfc504d	435	Loyal	02/05/2018	4	857.95
56c8638e7c058b98aae6d74d2dd6ea23	435	Loyal	19/04/2018	5	806.47
a1874c5550d2f0bc14cc122164603713	435	Loyal	23/05/2018	4	790.67
b39dde6dd619943190a8cc9aa6db38a4	335	Loyal	20/02/2018	4	769.81
acea6bd29b8c1e3cfa8b266a8fb4475e	435	Loyal	04/05/2018	4	646.99
b2b387f6c3cf05931f0f897d607dc88	435	Loyal	05/03/2018	4	638.77
35ecd98858edc6427223b64804c1028e	435	Loyal	31/03/2018	5	603.90
de34b16117594161a6a89c50b289d35a	345	Loyal	17/01/2018	6	530.38
2ddc001b620bd90d0f4378cfe1db887	435	Loyal	04/04/2018	4	483.33
74cb1ad7e6d5674325c1f99b5ea30d82	435	Loyal	03/04/2018	5	451.17
d3359a569666ac0c21bb01e7a61c95	435	Loyal	21/03/2018	4	428.38
b4e4f24de1e8725b74e4a1f4975116ed	435	Loyal	30/03/2018	5	274.95
Total				85	12.529,17

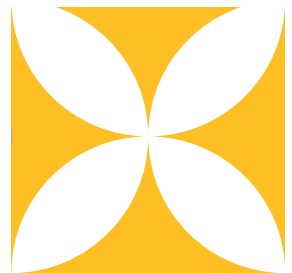
The Loyalty segment, similar to Champions, is also among Olist's best customers, but slightly larger with 17 customers and 45 orders in 2018.

Their average order value reached 142.4 US dollars, producing about 6,400 US dollars in revenue – three times higher than Champions.

Most of these orders came from Joao Pessoa city.

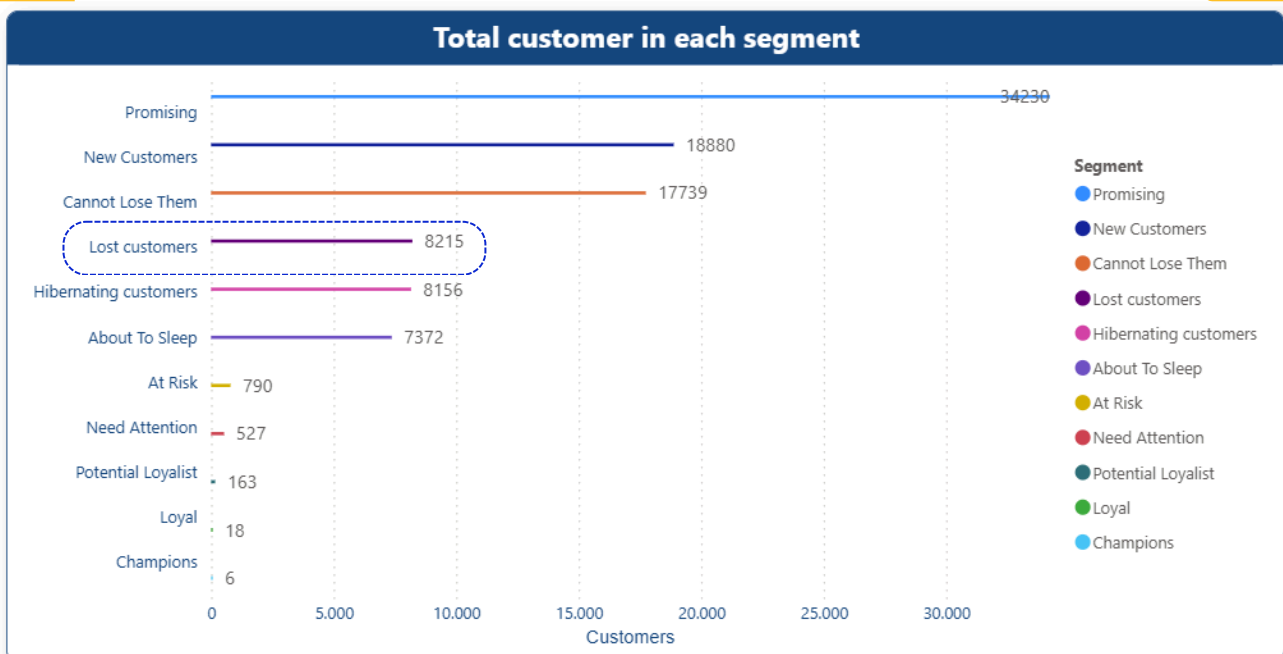
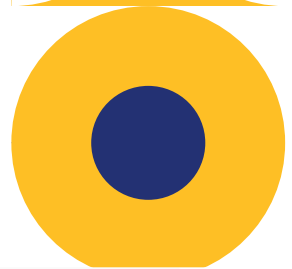


Part 2



Churn Customers

Who are they and how many of them?



The churned customers of Olist consist of a single group, namely the **Lost customers**, who had made purchases in the past (2016, 2017) but have not returned for a considerable period of time. This group is of medium size, representing roughly **15.5%** of the total customer base

Part 2

Lost Customer

\$441,9K

Revenue

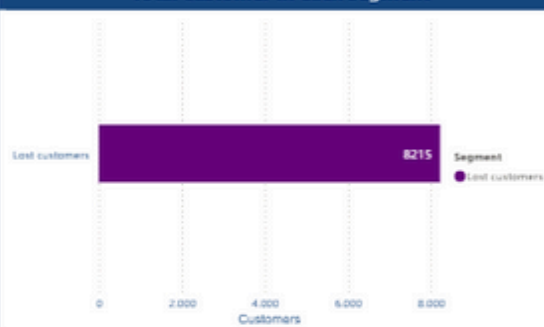
8229

Total orders

53,70

AOV

Total customer in each segment



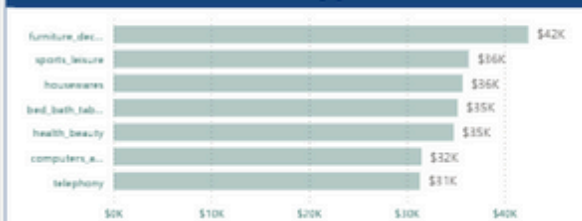
Total sales by city



Total orders and total sales trend



Total sales by product

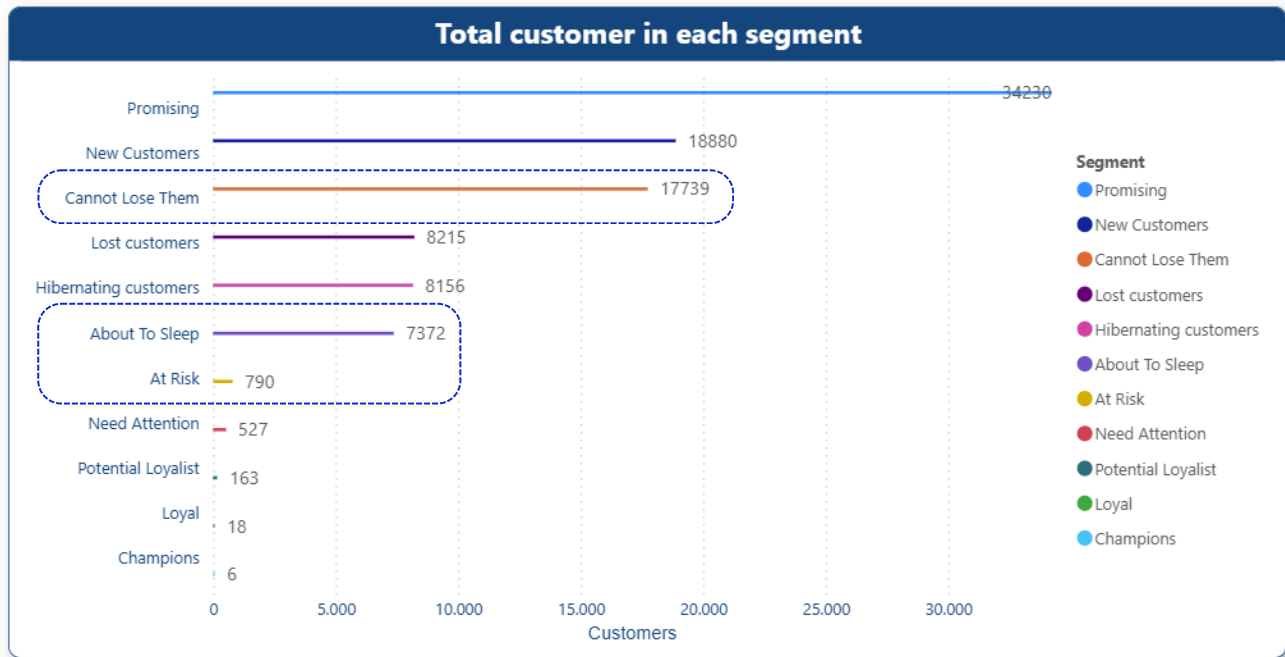


Customer ID	RFM Score	Segment	Last day order	Orders	Sales
182a4c2f54305e933440ab6e82e7ba8	112	Lost customers	08/08/2017	1	87,46
4cccd05f1c687822fc379cec1a70498	112	Lost customers	29/06/2017	1	87,44
b2e2fad1c50fcc84b22aa126c648b883	112	Lost customers	01/07/2017	1	87,44
83e75db9c488190e100f1a6cca95540	112	Lost customers	24/01/2017	1	87,37
f7ace36f8a10c4b2ede9ea7708e01454	112	Lost customers	09/10/2016	1	87,29
1dc9d4d7bea77b585eb404951d81c420	112	Lost customers	31/01/2017	1	87,27
e97998a77c5e1ecd930bbeee7461a063	112	Lost customers	31/01/2017	1	87,27
f172e87cb8cd89e4e34bce3728ce713	112	Lost customers	01/02/2017	1	87,27
664ec9c8b5f1cece2918b17cd2ee6249	112	Lost customers	18/03/2017	1	87,23
9148558785348ad15d0d4d4b510u0f81	112	Lost customers	18/04/2017	1	87,23
21747a07d2dec1345b45e27298d554aa	112	Lost customers	12/04/2017	1	87,22
60514aa32fb6451466b6359833e6830	112	Lost customers	27/02/2017	1	87,22
8e5ab06f3b845a533615ad9d9a1345de	112	Lost customers	01/05/2017	1	87,22
b8d462b762b7793f1449b9b855be0d0	112	Lost customers	27/03/2017	1	87,22
eb44ccc71cfe052621559400c201976	112	Lost customers	01/08/2017	1	87,22
d3c2b25f9665f3539fba423681c0750d	112	Lost customers	12/07/2017	1	87,16
41a0dc2721519cfe3b09a8c7b44c9c3	112	Lost customers	20/05/2017	1	87,14
445e459bdf14560d311185e71580e15	112	Lost customers	05/04/2017	1	87,13
a89da3959d8c06361efbfe9d530877c	112	Lost customers	18/03/2017	1	87,13
aa23fa1fa5d897f1c35a15b3e836e6d8d	112	Lost customers	31/03/2017	1	87,13
e9b2db6938f5d19b079e00bd33bf51a1	112	Lost customers	06/02/2017	1	87,13
Total				8229	441.865,20

Most **Lost customers** had purchased long ago, mainly in 2016 and 2017. Although their average order value was only 53.7 US dollars, the group generated approximately 442,000 US dollars in revenue, which was much higher than the best customer segments.

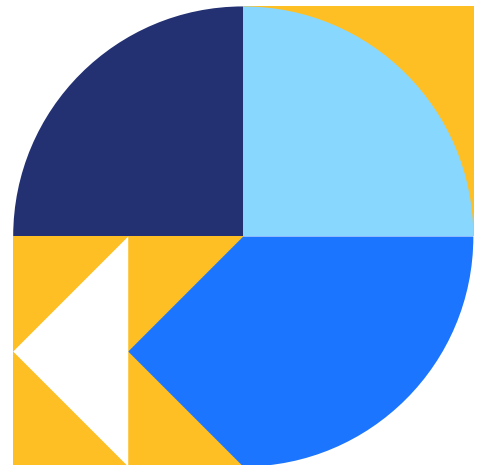
These customers were largely concentrated in São Paulo and Rio de Janeiro, two major cities in southern Brazil.

Part 3



Churn-to-be

CUSTOMER SEGMENT



The potential churn customers represent those who are still purchasing but are likely to leave in the near future.

Within this segment, Olist has identified 3 sub-clusters: 'Cannot Lose Them,' 'At Risk,' and 'About to Sleep.' Together, these groups account for around **50%** of all customers, which is a substantial proportion. As such, Olist needs to carefully analyze their characteristics in order to prevent a significant decline in revenue

Part 3

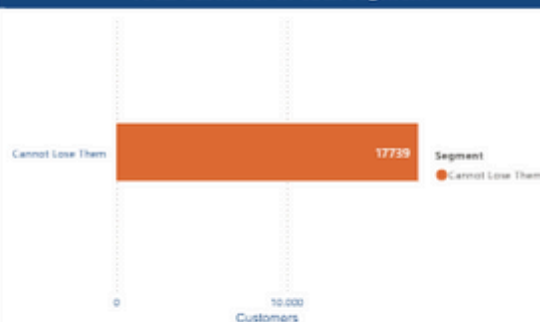
Cannot Lose Them

\$4,8M
Revenue

17,74K
Total orders

268,06
AOV

Total customer in each segment



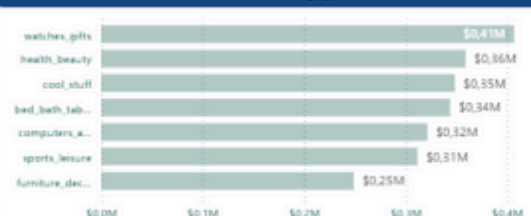
Total sales by city



Total orders and total sales trend



Total sales by product



Customer ID	RFM Score	Segment	Last day order	Orders	Sales
0a0a92112b4c708ca5de585afaa872	215	Cannot Lose Them	29/09/2017	1	13,664.08
dc4802a71eae9be1dd28f5d788ceb526	115	Cannot Lose Them	12/02/2017	1	6,929.81
f54159b92c40be40454e3e6a7c15e06	115	Cannot Lose Them	24/05/2017	1	6,726.66
400766ddc55973456f53e029e360987	215	Cannot Lose Them	24/11/2017	1	6,081.54
eebb5dda148f3893cdaf5b5ca3040cbb	115	Cannot Lose Them	18/04/2017	1	4,764.34
edf81e1f93070b9dca83ec83daddb9bc	115	Cannot Lose Them	18/04/2017	1	4,194.76
5e713be0653d8986528d7869a0811d2b	115	Cannot Lose Them	04/02/2017	1	4,042.74
01187510176909c5cd0b14a9138bb691	115	Cannot Lose Them	18/03/2017	1	4,016.91
5d096d82126457e2a8ebf9a9a1ff64	115	Cannot Lose Them	10/02/2017	1	3,796.22
981eabd10636b8fd60369a8d759917d6	115	Cannot Lose Them	10/05/2017	1	3,666.42
01796b61215e0d0a299084988c64c7e	115	Cannot Lose Them	21/02/2017	1	3,602.47
6f00d356a4be20527662aaf12116baab	215	Cannot Lose Them	20/11/2017	1	3,184.55
895617ab63a9a08881d9470f7427cd25	215	Cannot Lose Them	05/10/2017	1	3,126.50
c6111f70f40b3420e387493c627c27fa	215	Cannot Lose Them	10/10/2017	1	3,126.50
f0a0e98646e7bbb41c10f0d3991fe98	115	Cannot Lose Them	05/06/2017	1	3,048.27
0f75637a7e2f7b6ae43665d1f7d0ca5d	115	Cannot Lose Them	08/03/2017	1	3,044.12
2ae8173a688e326821405a5b7a6858c2	115	Cannot Lose Them	20/03/2017	1	3,042.36
6172bd5b1752ade8c6c4548b448f54f	115	Cannot Lose Them	06/07/2017	1	3,041.73
ea984b06b18cc905bc2f9bda3d1c986	115	Cannot Lose Them	27/03/2017	1	3,024.08
ee2bb06c1d3f368e92084edeb764b57	115	Cannot Lose Them	31/01/2017	1	3,016.01
ae04948ad7210ea76801b331080c0b3a	115	Cannot Lose Them	05/04/2017	1	3,009.53
Total				17739	4,755,178.72

The 'Cannot Lose Them' segment refers to customers who are vital for Olist's business. This cluster is very large, comprising around 17,000 customers who placed over 17,000 orders, generating approximately 4.8 million US dollars in sales.

Most of these customers were from São Paulo and Rio de Janeiro. Although their average order value was relatively high, their purchase frequency was low, with only one order on average. Therefore, Olist should focus on retaining these customers and encouraging repeat purchases to prevent them from leaving.

Part 3

At Risk

\$288,4K

Revenue

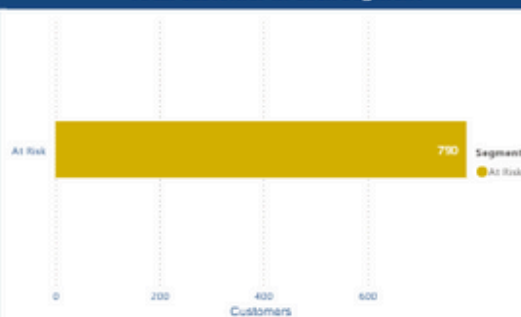
1657

Total orders

174,03

AOV

Total customer in each segment



Total sales by city



Total orders and total sales trend



Total sales by product

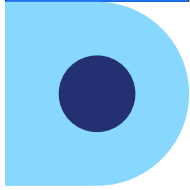
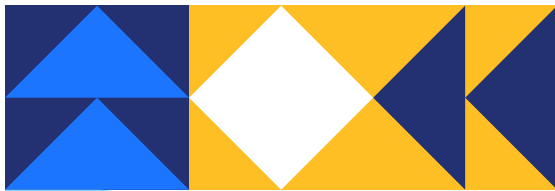


Customer ID	RFM Score	Segment	Last day order	Orders	Sales
da122d9eedfdec1dc1f5549a1a690c	125	At Risk	01/04/2017	2	7.571,63
055ec572ac7f8c7bd04a1818330ebe59	125	At Risk	18/07/2017	2	4.053,08
59d66d7293bc9497e19d89c61a96d5f	125	At Risk	10/08/2017	2	3.559,99
58c1b085b54c03a1f1ab5f13d64c2b1c	225	At Risk	17/09/2017	2	3.064,72
d77aa95864ae5b42160937615628723a	225	At Risk	29/08/2017	2	2.450,10
86d00dc5d6884d5d5945ca19f3ed6	225	At Risk	13/10/2017	3	2.400,48
73601b1eccc55943e90ce8d61253d5c09	225	At Risk	01/11/2017	2	2.068,68
60a22f2188cd2b544c45f103d0e00539	225	At Risk	14/09/2017	2	1.740,21
c169c9937db997a267749cdd64c161f	125	At Risk	09/05/2017	2	1.675,68
0f5ac8d5c31de21d2f25e24be15bbfb	225	At Risk	27/11/2017	2	1.544,82
da1e7179b9c5a1494d78528cb05aa0	225	At Risk	09/11/2017	2	1.467,87
aaa604ab981625e0b7a8d297f932e5	225	At Risk	02/12/2017	2	1.432,21
f0da6a1cfc18d5a3229a1a911313e3e	125	At Risk	11/05/2017	2	1.398,18
d13066a33d3681209c5c752456ae10	225	At Risk	28/10/2017	2	1.395,76
ec0bc4b2201e807294c7d8c4b777032	225	At Risk	17/10/2017	2	1.294,09
cbd08b04b1f101152b7570da5e9c8cc4	225	At Risk	16/09/2017	3	1.249,87
b045295488236fa78d89c37d04b09e7	225	At Risk	11/09/2017	2	1.247,13
ca6d9bc2e717c2a0aa19d77a3bfa5398	125	At Risk	06/07/2017	2	1.237,39
f34cd7d85a18ba1f86ed09567be3	235	At Risk	23/09/2017	4	1.236,76
0aa0c1d26d1c8b88a52c39a533c0a93	225	At Risk	28/11/2017	2	1.218,70
66b535b0906b43e0041916897667eed	225	At Risk	17/09/2017	3	1.195,23
Total				1657	288.361,37

The 'At Risk' segment makes up a relatively *small* share of the likely-to-leave cluster.

Customers in this group generated about 288,000 US dollars in total sales, with an average order value of 174 US dollars.

They had previously made frequent purchases at Olist but have not returned for a considerable period of time. It is possible that issues within their purchasing journey have reduced their trust or interest in continuing to shop with Olist.



Part 3

About to sleep

\$658,8K

Revenue

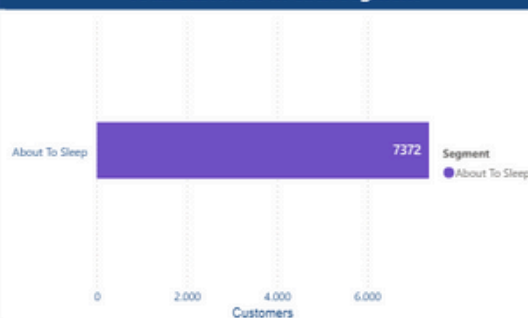
7386

Total orders

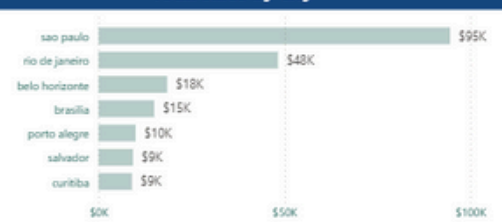
89,20

AOV

Total customer in each segment



Total sales by city



Total orders and total sales trend



Total sales by product



Customer ID	RFM Score	Segment	Last day order	Orders	Sales
da582579db9a13a67362c4b89069fb18	213	About To Sleep	05/09/2017	1	133.06
7433185ba44562baaf358c26107efa67	213	About To Sleep	28/08/2017	1	133.04
795e2d934c208200aed05b3f44dc2a4b	213	About To Sleep	01/12/2017	1	133.06
98aeea3933099a0948bf63bdcdfc518d	213	About To Sleep	26/11/2017	1	133.06
1568e7ed433324960aa6f247e959d995	213	About To Sleep	13/10/2017	1	133.06
317316ce918b51c2d4e1e799af54c434	213	About To Sleep	26/09/2017	1	133.06
4d11e5dba5b16d8c2107100b84f2692	213	About To Sleep	15/09/2017	1	133.06
65fb677b2468e81b4620a5d17957db08	213	About To Sleep	05/10/2017	1	133.06
6c57e6bd11b8e9d85e77b3e14fb42e6f	213	About To Sleep	24/09/2017	1	133.06
76dd0c4744aacba27bc9e82984f9da5b	213	About To Sleep	03/10/2017	1	133.06
adb179736cd012663455d999399bd2b5	213	About To Sleep	30/08/2017	1	133.06
b7eb84f8a1ea3958ad9950235cfc4d	213	About To Sleep	13/09/2017	1	133.06
6f2c69634d3f25530f95c64154505a2	213	About To Sleep	15/09/2017	1	133.03
abbb726450caefc039c8e1e68cd56c499	213	About To Sleep	09/09/2017	1	133.03
1112bfa4fa2b84c667206c943de7c20	213	About To Sleep	15/11/2017	1	132.96
65dedddcd63124f257e32576777682b	213	About To Sleep	28/10/2017	1	132.96
7af1681f44f1660b104f31b5f7d70e	213	About To Sleep	13/11/2017	1	132.96
9717da853b741eaaa3b98d9f9bd48c71	213	About To Sleep	23/11/2017	1	132.97
22a9edc03ee113db3ad4ba793016e8	213	About To Sleep	11/11/2017	1	132.96
4926bcaadb23d99c4739af347a827ead	213	About To Sleep	13/11/2017	1	132.96
8fb2e52fcbdd795b87119ac26b5f50187	213	About To Sleep	21/11/2017	1	132.96
Total				7386	658.815,27

The 'About to Sleep' segment consists of customers who have made purchases but, after a certain period of time, do not return.

Most of these customers began shopping relatively recently, between 2017 and 2018. Their spending is modest, with purchase amounts remaining low, and their average order value is the second lowest after the Lost customer group.

Consequently, they may still be considered current customers but are at risk of becoming lost in the future.

Business Indicator

PART 4

A Olist achieved a total revenue of **15.84 million USD**.

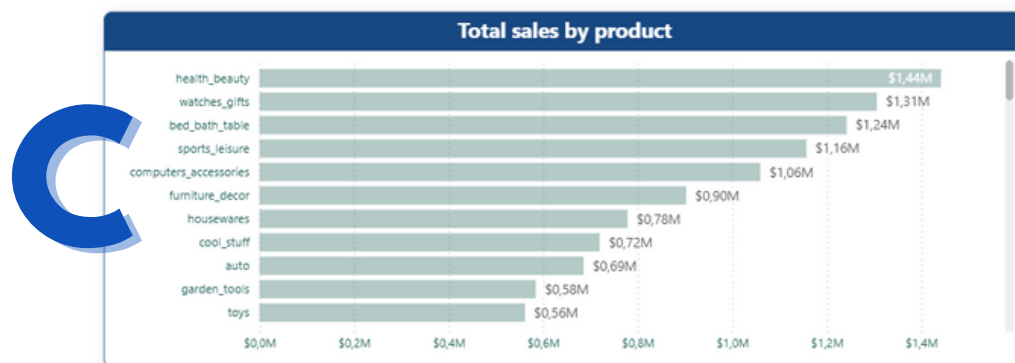
The company's revenue began to grow strongly from the third quarter of 2017 and was consistently maintained throughout the quarters of 2018.



Olist recorded a total of 99.4 thousand orders, including both completed and cancelled transactions.

The number of orders rose sharply in 2017, peaking in the fourth quarter with 17,000 orders and reaching the highest monthly figure of over 7,000 in November.

After that, order volumes remained high throughout 2018, averaging more than 6,300 orders per month.



The top three best-selling product categories at Olist were **health and beauty, watches and gifts, and bed, bath and table**, with respective sales of \$1.44 million, \$1.31 million, and \$1.24 million.

**Thank You for
your attention**

